

half of what I had paid for the shares, I subsequently learned that the acquiring company lost money on the deal. Not only did this new family of drugs fail to measure up to the extensive hopes that had been enthusiastically projected by my friend, the medical specialist, but also on painful “post-mortem” reexamination of the situation, I found that there were management problems in this small drug manufacturer. With a more thorough investigation both fail-ings would, I believe, have become apparent to me.

From that embarrassing time forward, I have tried to be particularly thorough in making investigations in periods when things were going well. The only reason this particular investment folly wasn't more costly stemmed from my caution. Since I had had only a slight contact with the management, I made only a small initial investment, planning to buy more as I got to know the company better. Their troubles overtook me before I had a chance to compound my original folly.

As the long bull market was reaching its final peak in 1969 another mistake occurred. To understand what happened it is necessary to recreate the psychological fever which gripped most investors in technological and scientific stocks at that time. Shares of these companies, particularly many of the smaller ones, had enjoyed advances far greater than the market as a whole. During 1968 and 1969 only one's imagination seemed to cap the dreams of imminent success for many of these companies. Some of these situations did have genuine potential, of course. Discrimination was at a low ebb. For example, any company serving the computer industry in any way promised a future, many believed, that was almost limitless. This contagion spread into instrument and other scientific companies as well.

Up to this time, I resisted the temptation to go into any of the similar companies that had just “gone public” at very high prices in the previous year or two. Yet, being in frequent contact with those who were sponsoring these excitement inducing companies, I kept looking for a few that might be genuinely attractive. In 1969 I did find an equipment company working in an extremely interesting new frontier of technology; one that had a real basis for its existence. The firm was run by a brilliant and honest president. I can remember still, after a long luncheon session with this man, my pacing up and down the airport awaiting my airplane home and trying to determine